PARTNERS of the AMERICAS
Connect • Serve • Change Lives

Tax Equalization Policy

Effective January 1st, 2025

Enacted

John McPhail

President & CEO

Table of Contents

1424 K Street NW Suite 700 Washington DC 20005 202.628.3300 www.partners.net

1. Purpose

This document explains the concept of tax equalization, why Partners of the Americas (Partners) has a tax equalization policy, and how the policy will be implemented. The policy explains how Partners will support employees' taxation when they work in different countries and sets out the responsibilities of both the employer and the employee in this agreement. This policy is part of the expatriate benefit policies that govern the temporary relocation of employees.

Employees living and working outside their home country may be subject to the host country's income and social taxes in addition to their home country's income taxes. Since U.S. citizens, tax residents, and permanent residents (also known as Green Card holders) must file U.S. income tax returns reporting worldwide income even when they are living and working outside of the U.S. and subject to foreign taxes, this situation is most common for U.S. citizens, tax residents, and permanent residents. However, in limited circumstances, this may apply to foreign national employees assigned to work outside of their home country.

In addition, employees working outside of their home country on an international assignment often receive overseas allowances and benefits that are not available when the employee is working in their home country. Examples of these overseas allowances and benefits include but are not limited to housing, moving, education for children living in the overseas location, cost of living adjustments, foreign services premiums, and payment of foreign individual income and social taxes by Partners. These allowances may be paid directly to the employee via payroll, reimbursed to the employee via an expense report, paid directly to a vendor (such as a moving company), or paid directly to the foreign tax authority on behalf of the employee.

Since these allowances and benefits are U.S. taxable income, Partners must include these payments in a U.S. employee's annual Form W-2. The foreign country may also subject these allowances and benefits to individual income and social taxes. Including these allowances in both home and host country taxable wages may increase the employee's total annual tax liability on Partner's income even after all available steps have been taken to reduce the employee's tax liability. The Partner's tax equalization policy is designed to benefit the employee in these circumstances.

1.1 Scope

This policy shall apply to Partners' U.S. taxpayer employees on an international assignment when they must pay foreign individual income and social taxes on Partners income greater than their hypothetical tax. This policy does not apply to employees on full or partial telecommuter agreements. Hypothetical tax is defined below. The employee requirement to pay foreign individual income and social taxes may be satisfied via income tax withholding or foreign tax payment by Partners or the employee paying the foreign tax authority directly during the tax year or with the employee's income tax filings. Suppose an employee must pay foreign individual income and social taxes that are less than or the equivalent of the hypothetical tax. In that case, the employee may pay the lower foreign taxes instead of the hypothetical tax. Whether the employee pays the lower of the hypothetical taxes or the foreign individual income taxes is based on the specific circumstances and will be determined by Partners of the Americas, Inc., and their tax advisor.

The Partners tax equalization policy applies from the first day of the income year, during which the assignment begins, until the last day of the income year, during which the assignment concludes. This policy has been designed to tax equalized Partners employment-related income only.

The employee does not have the choice to opt out of tax equalization - it will apply to all international assignments where an employee is subject to foreign individual income taxes. Since the facts of each international assignment and each employee on assignment will differ, the tax laws of home and host countries will vary, and the availability of income tax treaties or other tax agreements between countries that mitigate foreign country taxes will differ, each international assignment will be reviewed and evaluated separately by Partners and their tax advisor to confirm that tax equalization is appropriate.

The Tax Equalization Policy does not apply to any employee permanently transferring from one Partner's location to another. Nor does it apply to a foreign national hire when a new recruit is hired in one country and moves to another country to take up their new job with Partners.

2. Definitions

- **Actual Tax:** If applicable, the employee's actual tax liability in the host country and home country. The Tax Equalization policy covers home and host country income and social taxes. The Tax Equalization policy does not cover taxes other than income and social taxes. Taxes not covered include, but are not limited to, property taxes, inheritance taxes, estate taxes, gift taxes, wealth taxes, sales taxes such as goods and services tax or VAT taxes, transfer taxes, or any customs taxes or duties.

- **Employer**—For this policy, the employer is Partners of the Americas Inc.'s home office.

- **Employee** – For this policy, the employee is the individual who has been identified to undertake an international assignment.

- **International Assignment** - When an employee works in another country on behalf of Partners, either at another Partners entity, for over 180 days while remaining an employee of their home country and on the home country's payroll.

- **Home Country** – The country in which the employee is employed initially.

- **Host Country** – The country the employee is assigned to work and live in for the duration of the assignment.

- **Hypothetical Tax:** The estimated federal, state, local (if applicable), U.S. Social Security, and U.S. Medicare tax (or foreign social taxes, if the home country is non-US) that an employee would pay if they were not on assignment.

- **Third Country—The employee may travel to and work in other countries throughout their international assignment. The time spent in the third country is less than** in the host country.

3. Responsibilities

Employees:

Employees are responsible for remaining tax-compliant in their home and host country. Any penalties or interest resulting from non-compliance are solely the employee's responsibility. Employees should also note that Partners will not be responsible for unanticipated consequences related to non-compliance with home and host county tax laws. Examples of unanticipated consequences of non-compliance with home or host country tax laws are rejection of visa renewal applications pending compliance or inability to ship household goods from a port.

Remaining compliant in home and host country means following tax regulations in both home and host countries, which includes, but is not limited to, submitting all tax filings and making all required tax payments (estimated tax payments, provisional tax payments, final tax payments) promptly

- Employees are responsible for providing the organization with timely and accurate documentation of tax payments or other tax documentation when requested or every January 31.

- **Employees are responsible** for providing directly to the tax advisor copies of home and host country tax documents, including foreign pay statements, promptly when requested. The tax advisor would use these documents to confirm the employee's tax position(s) and to do the Tax Equalization reconciliation. These documents would not be provided to the employer, Partners.

- **Employees are responsible** for taking appropriate steps to reduce actual home and host country taxes, such as meeting the requirements to claim the foreign earned income and housing exclusion, breaking state tax residency, or limiting the amount of time spent in a state to reduce state tax liability or renting and not purchasing a home in the host country to retain a favorable host country tax status. These steps will vary based on the tax rules of the home country, state, and host country.

- **Employees are responsible** for notifying Partners of changes in their home or host country tax status (tax position), including if they cannot meet any home or host country requirements for reducing those taxes. Increases in the time spent in the home or host country or changes in foreign visa status are two examples of employee activities that may increase home and/or host country taxes.

- **Employees are responsible** for interest and penalties incurred related to the employee's failure to comply with home and host country tax regulations, including timely payments of taxes or taxes incurred on non-Partners' income will be the employee's responsibility.

Human Resources:

- **Human Resources is responsible** for providing access to tax advisory services to assist employees in understanding their tax obligations.
  Human Resources is responsible for administering the tax equalization calculations and reimbursements.

4. Tax Equalization

An international assignment potentially increases an employee's tax liability due to allowances and benefits being taxable in both the home and the host location. For example, cost of living allowances, housing allowances, home leave flights, etc... Tax equalization provides a methodology for the employee and the employer to share the increased tax cost of the overseas assignment.

Tax equalization is a method of calculating the total tax liability of an employee on Partners' income during their international assignment and working out what portion of the liability should be paid by the employee and what should be paid by the employer. Under tax equalization, the employee will pay approximately the same taxes on their Partners employment income if they remain in their home country. This amount of tax is calculated at the start of the assignment or on an annual basis for an ongoing assignment. It is called hypothetical tax and is designed to be an estimate. The hypothetical tax calculation is generally based on the U.S. federal, state, local, Social Security, and Medicare tax rules in place for the year that the hypothetical tax is calculated. Therefore, an employee's filing status as married filing joint, married filing separate, single, or head of household, as well as items such as the number of dependents eligible for the child tax credits, are considered for this calculation.

Partners' employees subject to tax equalization may be from different countries or states within the U.S. In addition, Partners' salaries are based on employees living and working in Washington, D.C. Therefore, in the interest of fairness and consistency, Partners utilizes a "Home Office" approach to tax equalization. This means that Partners will tax all expatriates to the state of Washington, D.C.

For example, hypothetical state tax will be calculated based on the Partners' income the employee would have earned if they lived and worked in Washington, D.C. Every tax-equalized employee, whether their home country is the U.S. or a foreign country, will be subject to hypothetical federal and Washington, D.C. state income tax and hypothetical U.S. Social Security and Medicare tax.

For example, an employee who lived in a state within the U.S. with a high or a low tax rate before their international assignment will be subject to hypothetical Washington, D.C. state income taxes. An employee living in a state with no income tax will also be subject to a hypothetical Washington, D.C., state income tax. Similarly, a foreign national subject to hypothetical tax under the tax equalization policy will pay hypothetical U.S. federal, Washington, D.C. state income tax, and U.S. Social Security and Medicare tax.

The goal of the tax equalization policy is fairness and consistency among employees on international assignments. Partners may take into account special circumstances that arise and make adjustments accordingly.

Hypothetical federal and state income tax is deducted from the employee regularly, much like the tax deductions they would have experienced through their payroll before going on an international assignment. The hypothetical tax offsets the employee's total global tax liability.

For U.S. employees, Social Security and Medicare tax will also be deducted from the employee regularly. Social Security and Medicare taxes are generally deducted as actual taxes during the year and reconciled after the year's end as part of the Tax Equalization process. Hypothetical tax decreases the employee's U.S. taxable income.

For non-US employees or U.S. employees who are not subject to U.S. Social Security and Medicare tax due to special circumstances, the hypothetical U.S. Social Security and Medicare tax will be included in the hypothetical federal and state income tax deduction.

Generally, Partners will pay the host country taxes (as detailed below) at the time mandated by the foreign country either directly to the foreign tax authority or reimburse the employee if the employee pays the host country's taxes. Host Country taxes paid by Partners directly or as a reimbursement to the employee will be included in the employee's taxable wage income. Therefore, foreign tax payments, such as foreign allowances and benefits, will increase taxable income.

If it is determined by the tax advisor that home country tax payments on Partner income are required during the year, Partners will work with the tax advisor and the employee to make those payments.

4.1 Tax Equalization Objectives,

The objectives of the Tax Equalization Policy are to ensure that the employee is broadly no better or worse off from a tax perspective on their Partners' employment income than they would have been had they remained in their home country. It aims to remove an employment income tax liability loss or gain from the assignment. It seeks to ensure that the employee's decision to accept the assignment is not impacted by different countries' tax rates and rules. It also ensures that the employer and the employee are tax-compliant in the home and host countries.

The assignment may create additional taxes in both the home and host locations; however, Partners will settle any tax liability in the home and host countries on company-sourced employment income received during the assignment or as a consequence. Partners may settle the tax liability in the home and host country by reimbursing an employee who pays the taxes through payroll withholding or by Partners directly paying a tax authority. Considering the above, a hypothetical tax deduction will be deducted from the assignee.

Tax equalization also protects the employee against cash flow disadvantages. In some circumstances, employment income may be subject to tax in two countries at the same time, and a tax refund is only claimable at the end of a tax year. The employer takes responsibility for this cash flow disadvantage on behalf of the employee.

4.2 Income Subject to Equalization

In the Tax Equalization Calculations, income subject to reconciliation includes the actual compensation received during the assignment, such as base salary, assignment-related allowances (e.g., relocation or hardship payments), and taxable benefits like company-provided housing. Other payroll items such as group term life (an addition to wages) or contributions to Partners 403(b) plan is a reduction in taxable wages for federal and state purposes) are also considered as if the employee lived and worked in the U.S. This calculation reconciles the hypothetical tax with the tax paid by the foreign and home countries, ensuring that the employee neither gains nor loses financially due to tax rate differences between the home and host countries.

4.3 Income Not Subject to Equalization

Certain types of income are <u>not subject</u> to equalization. These typically include spousal or domestic partner income, personal investment income, capital gains, and rental income from properties in the home country, which are outside the scope of company compensation. The employee is fully responsible for the tax liability on such personal income, and it is excluded from the equalization policy to avoid unnecessary complexity.

5. Employee Company Income Tax Withholding

Due to the length of time that the employee is absent from the home country when they accept a long-term international assignment, the home country tax residency rules, in many cases, allow for home country income taxes to stop until the employee returns to the home country and re-establishes their tax residency. The home country tax advisers will assess if this is applicable and instruct Partners.

Suppose the home country tax residency rules mean the home country income taxes stop on the employee's income. In that case, the employer will introduce an estimated hypothetical tax deduction as part of the tax equalization procedure.

6. Estimated Hypothetical Tax Deduction

If the home country's income taxes stop on the employee's income, Partners will deduct from the employee during each pay cycle an estimated hypothetical tax from the employee's earnings. The employee may no longer have an actual home country income tax deduction from their earnings; these may be replaced by the hypothetical tax deduction that the approved home country tax service provider has calculated. The hypothetical tax calculation is similar to the actual tax levels and is described in more detail in this policy.

6.1 Tax Equalization Calculation

The Tax Equalization Calculation involves determining the difference between the hypothetical tax the employee would have paid if they remained in their home country and the actual taxes they must pay in the home and host country. First, the hypothetical tax (based on home country tax rates) is deducted from the employee's income throughout the year. The company generally pays the foreign taxes as required, directly to the foreign tax authority, or as a reimbursement to the employee if the employee pays the foreign taxes themselves. At year-end, when the final annual wages, including benefits, have been determined (from a U.S. W-2 or foreign pay statements), a reconciliation process compares actual taxes with hypothetical taxes, and any discrepancies are adjusted, ensuring the employee remains tax neutral.

6.2 Tax Year-End Equalization Calculation and Repayment

After the tax year is complete, a year-end tax reconciliation figure is calculated (the Tax Equalization Calculation). The employee may owe Partners an additional sum of hypothetical taxes, or they may receive a tax refund. An example of why more tax might be due is if the employee earned a one-off exceptional bonus/payment received mid-year or a pay increase mid-year. A tax refund to the employee might be due to the employee for several reasons. Similar to the U.S. withholding the Hypothetical tax, it is designed to be an estimate only based on anticipated income and personal facts such as marital status and children eligible for the child tax credit during the year. Tax Equalization is the final reconciliation based on actual income received and actual personal facts.

If the year-end balance shows that the employee owes taxes to Partners, the employee must pay the balance to the company within 30 days. If the company does not receive full payment of the balance within 30 days, interest will accrue on the outstanding amount until the date of full repayment.

1424 K Street NW Suite 700 Washington DC 20005 202.628.3300 www.partners.net

6.3 Hypothetical Tax and Social Taxes

The hypothetical tax calculation does include social taxes. Social taxes generally cover state-related sickness pay, family-related benefits, health insurance, unemployment, and pension. U.S. taxpayer employees on the U.S. payroll will typically be required to contribute to U.S. Social Security and Medicare taxes during their assignment. They may also be required to contribute to the host country's social tax systems, and therefore, they may be subject to social taxes by both the home and the host country. Since Partners generally pay host country social taxes on behalf of the employee, the tax equalization process allows the employee to continue to contribute to U.S. Social Security and Medicare tax but not be responsible for the foreign social taxes.

Several factors determine whether an individual can continue contributing to the home country's social security scheme, including home and host country social security legislation and whether the home country has entered into a reciprocal social security agreement with the host country.

6.4 Termination of International Assignment

Any tax settlements or reconciliations must be completed within three months of the end of the international assignment.

7. Non-Compliance and Adjustments

Employees are responsible for adherence to tax laws in both home and host countries. Employees must submit all required tax documents and comply with legal regulations. The employee must submit all required documentation requested to the employer with a minimum of 30 days to review and file. Failure to do so may result in penalties or tax liabilities for which the employee will be responsible. Partners of Americas, Inc. is not responsible for penalties, interest, or other unanticipated adverse results from a failure by the employee to comply with all home and host country tax rules and regulations.

Adjustments to the hypothetical or tax equalization calculations may be required due to changes in tax laws or discrepancies discovered during reconciliation. Should tax laws change or discrepancies arise, appropriate adjustments will be made to ensure compliance and fairness.

8. Policy Review and Acceptance

By accepting the offer of an international assignment, the employee acknowledges that Partners will utilize the tax equalization methodology. Partners of the Americas, Inc. maintains the right to change, add, or discontinue the tax equalization policy at any time. Any questions relating to circumstances not directly covered by this policy should be referred to the Home Office Human Resource unit.

9. Tax Equalization Q&A

Q: **What is tax equalization?** A: Tax equalization ensures that employees on international assignments pay approximately the same amount of taxes as they would have if they remained in their home country. This policy prevents financial disadvantages or advantages due to differing tax rates in the host country.

Q: What taxes are covered under the policy? A: The policy covers home and host country income and social taxes. It does not cover other taxes such as property, inheritance, estate, gift, wealth, sales, transfer, or customs taxes.

Q: How is my hypothetical tax calculated? A: Hypothetical tax is an estimate of the taxes the employee would pay if they were not on assignment. It includes federal, state, local (if applicable), Social Security, and Medicare taxes. This amount is deducted from the employee's income on a regular basis.

Q: Will I owe taxes in both countries? A: Employees may owe taxes in both home and host countries. However, the tax equalization policy ensures that the employee's total tax liability is similar to what it would have been in their home country.

Q: Who handles the tax filings and associated costs? A: The employer typically handles tax filings and associated costs. Human Resources provides access to tax advisory services and administers the tax equalization calculations and reimbursements.

Q: What happens if tax laws change? A: If tax laws change, adjustments to the hypothetical or tax equalization calculations may be required to ensure compliance and fairness5.

Q: How are non-salary benefits and allowances treated? A: Non-salary benefits and allowances, such as housing, moving, and education for children, are included in the employee's taxable income and may be subject to home and host country taxes.

Q: What happens if I am on a short-term versus long-term assignment? A: The policy applies to both short-term and long-term assignments. However, the specifics may vary depending on the assignment's duration and the host country's tax rules.

Q: How will tax equalization impact my retirement and other savings plans? A: Contributions to retirement and savings plans, such as 401(k) or 403(b), are considered in the hypothetical tax calculation, reducing the employee's taxable income.

Q: What are my responsibilities for tracking and reporting income? A: Employees are responsible for remaining tax compliant in both home and host countries, submitting all tax filings, and making required tax payments in a timely manner.

1424 K Street NW Suite 700 Washington DC 20005 202.628.3300 www.partners.net

Q: How will repatriation affect my tax status? A: Upon repatriation, the employee's tax status will be reassessed, and any necessary tax settlements or reconciliations must be completed within three months of the assignment's end.

Q: What happens in case of an audit? A: In case of an audit, employees must provide all required documentation and comply with legal regulations. Any penalties or interest resulting from non-compliance are the responsibility of the employee.